

THE MORTGAGE BROKER LEGAL GUIDE AND DEFINITIONS

This Chapter of the Guide includes representations, warranties, requirements and obligations of the Seller solely related to instances of Brokered Mortgage Loans. Except where there is a conflict, the provisions of this Chapter are in addition to, and not in place of, the Seller's obligations contained in the Loan Purchase Agreement or any other document between Flagstar and Seller. In those instances where there is a conflict and the Mortgage Loan is a Brokered Mortgage Loan, the requirements set forth in this Chapter control the representations, warranties, requirements and obligations of the Seller with respect to that Brokered Mortgage Loan. This Chapter is applicable only to Sellers who have executed a Loan Purchase Agreement on or after November 15, 2018. Sellers who executed a Loan Purchase Agreement prior to November 15, 2018 shall still be subject to Section 4001 "Legal Guide."

All guidance and information contained in the Guide, including this Chapter, should in no way be construed as an offer of legal advice by Flagstar or its affiliates. While the Guide provides helpful tools, policies, procedures and requirements, the Seller should seek independent legal opinion(s) from qualified sources for all legal determinations, including with respect to any individual Mortgage Loan.

For purposes the Loan Purchase Agreement and this Chapter of the Guide, the following capitalized terms have the meanings specified in this Section:

AGENCY OR AGENCIES

The Federal National Mortgage Association ("Fannie Mae"), Federal Home Loan Mortgage Corporation ("Freddie Mac"), Government National Mortgage Association ("Ginnie Mae"), Federal Housing Administration ("FHA"), Department of Veterans Affairs ("VA"), Department of Housing and Urban Development ("HUD"), or any other federal or state agency which purchases, insures or guarantees Mortgage Loans or securities backed by Mortgage Loans.

APPLICABLE LAW

All federal, state and local laws, rules, regulations and regulatory guidance, as amended from time to time, applicable to the origination, consummation, sale and servicing of Mortgage Loans including, but not limited to, the Truth in Lending Act and Regulation Z ("TILA"), the Equal Credit Opportunity Act and Regulation B ("ECOA"), the Real Estate Settlement Procedures Act and Regulation X ("RESPA"), the Fair Credit Reporting Act ("FCRA"), the Flood Disaster Protection Act, the Fair Housing Act, and the Home Mortgage Disclosure Act and Regulation C ("HMDA").

BROKERED MORTGAGE LOAN

A loan secured by a first or second lien on a one to four family dwelling, evidenced by a Note and secured by a Mortgage, and including the Mortgage Loan Documents and all other instruments evidencing a Borrower's indebtedness, which satisfies all of the requirements and standards for the applicable Mortgage Loan Program. A Brokered Mortgage Loan is Originated by Seller to Flagstar and intended to be and/or is Funded by Flagstar at Closing.

BORROWER

The person or persons who submit an application to Seller, receive a Brokered Mortgage Loan, and are obligated to pay under the terms of the Note.

CLOSING

The time when the Borrower signs a Note evidencing a Brokered Mortgage Loan and the Mortgage securing payment of said Note.

DISBURSEMENT DATE

The date that funds for a Closing, evidenced by an executed Note, are disbursed on behalf of the Borrower by the settlement agent, closing agent, closing attorney or such other party authorized to conduct the Closing.

FUNDED

The process of providing the funds from a Brokered Mortgage Loan directly or indirectly to or on behalf of the Borrower. The date a Brokered Mortgage Loan is Funded may be different than the Disbursement Date of a Brokered Mortgage Loan.

INVESTOR GUIDELINES

All policies, procedures, and requirements of the Agencies, Private Investors, and/or specific Mortgage Loan Program requirements, applicable to the registration and Origination of Brokered Mortgage Loans to, and the underwriting, closing, funding and sale of Brokered Mortgage Loans by Flagstar.

LOAN PURCHASE AGREEMENT

A contract signed by Flagstar and Seller which evidences their agreement for Seller to sell to Flagstar Mortgage Loans. In order for the Seller to have authority to Originate a Brokered Mortgage Loan, the Seller's Loan Purchase Agreement must be amended and supplemented by a "Mortgage Broker Addendum."

MORTGAGE

A valid and enforceable mortgage, deed of trust, or other security instrument pledging property as security for payment of the Note.

MORTGAGE LOAN AMOUNT

The face amount of the Note for all Brokered Mortgage Loans delivered.

MORTGAGE LOAN DOCUMENTS

Any and all documents creating, evidencing, or securing a Brokered Mortgage Loan, required by a Mortgage Loan Program, Investor Guidelines or otherwise required to be maintained or prepared by Seller or on behalf of Seller or Borrower by a third party (for example, by an appraiser) pursuant to the Loan Purchase Agreement or the Guide.

MORTGAGE LOAN PROGRAM

A type of Brokered Mortgage Loan, the terms and conditions of which are described in the Guide, and which can be offered to prospective Borrowers as a Brokered Mortgage Loan eligible to be Originated by Seller to Flagstar under the terms of the Loan Purchase Agreement.

MORTGAGED PROPERTY

The property encumbered by the Mortgage.

NOTE

The valid, binding, and enforceable instrument which evidences a Borrower's obligation to repay a Brokered Mortgage Loan secured by a Mortgage.

ORIGINATE

Taking an application for, offering, or negotiating the terms or conditions of a Brokered Mortgage Loan. For purposes of this Chapter, “taking an application” means taking information from the Borrower and assisting in the completion of an application to be submitted to Flagstar for the purposes of obtaining a Brokered Mortgage Loan; “offering or negotiating the terms or conditions” means registering an application with Flagstar and communicating with the Borrower about the status of that registered application.

PRIVATE INVESTOR

An entity or entities other than an Agency to whom Flagstar will be selling a Brokered Mortgage Loan, whether through a whole loan sale, a securitization, or such other mechanism by which full legal title to a Mortgage Loan or Brokered Mortgage Loan is conveyed by Flagstar for value. Flagstar shall be considered a Private Investor for Brokered Mortgage Loans Originated by Seller but held in Flagstar’s portfolio.

SELLER

An entity that has executed a Loan Purchase Agreement and Mortgage Broker Addendum with Flagstar and who intends to Originate a Brokered Mortgage Loan or Brokered Mortgage Loans to Flagstar for which Flagstar will provide the funding to Borrower at Closing.

SELLER’S GUIDE OR GUIDE

All policies, procedures, and requirements of Flagstar, including but not limited to this Mortgage Broker Legal Guide, made available to the Seller and applicable to the registration, Underwriting, Closing, and funding of Mortgage Loans and Brokered Mortgage Loans. Flagstar may modify the Guide in part or in whole at any time as set forth in the Loan Purchase Agreement.

UNDERWRITE OR UNDERWRITING

The examination and evaluation, pursuant to the terms of a Mortgage Loan Program or applicable Investor Guidelines, of the creditworthiness of the Borrower and the sufficiency of the Mortgaged Property for purposes of determining whether or not to make a Brokered Mortgage Loan.

UNDERWRITING ERROR

Any mistake, omission or action in the Underwriting of a Brokered Mortgage Loan which directly or indirectly relates to or causes a claim or demand made to or against Flagstar.

REPRESENTATIONS, WARRANTIES, AND COVENANTS

SELLER WARRANTIES ON FLAGSTAR LOANS

Seller represents and warrants that, in connection with each Mortgage Loan submitted to Flagstar that:

1. All Mortgage Loan Documents, and all information contained therein, submitted by Seller or Seller’s agent, including but not limited to information supplied by the Borrower to the Seller, are in every respect true, correct, and complete. No fraud, error, omission, misrepresentation, negligence or similar occurrence was committed in connection with the origination of the Mortgage Loan.
2. Any Mortgage Loan Documents provided to the Borrower by the Seller have been duly executed by Borrower, acknowledged and sent for recording (if applicable); the Borrower is the true and only obligor on the Brokered Mortgage Loan and is the real party in interest thereon, and there is no verbal understanding or written modification which would affect the terms of the Note or Mortgage. The terms of all Mortgage Loan Documents have not been impaired, waived, altered or modified in any respect. Seller has provided a Mortgage Loan Document to a Borrower when

the Seller, and not Flagstar, has directly sought the Borrower's signature on a Mortgage Loan Document or when Seller, and not Flagstar, is the party required by Applicable Law to do so.

3. No Borrower has been released, in whole or in part under any Brokered Mortgage Loan. The Brokered Mortgage Loan was Originated to satisfy all of the requirements contained in the Guide and the standards for the applicable Mortgage Loan Program under which Seller has Originated the Brokered Mortgage Loan. Seller acknowledges that this determination is made in Flagstar's sole discretion.
4. Seller understands that Flagstar intends to sell the Brokered Mortgage Loans to investors in the secondary market. Accordingly, Seller represents and warrants that it has originated the Brokered Mortgage Loans in full compliance with all applicable Investor Guidelines. The Brokered Mortgage Loans meet all specifications, representations and warranties of the Investor Guidelines, and all Mortgage Loan Documents provided by the Seller are the current version required by the Investor Guidelines. There are no circumstances or conditions with respect to any Brokered Mortgage Loan, Mortgaged Property, the Borrower, or the Borrower's credit standing that will cause a Private Investor or an Agency to regard the Brokered Mortgage Loan as an unacceptable investment, cause the Brokered Mortgage Loan to become delinquent or adversely affect the value or marketability of the Brokered Mortgage Loan.
5. Seller has the authority to take an application, offer or negotiate terms, or otherwise assist a Borrower in order to Originate a Brokered Mortgage Loan on the terms set forth herein. There has been no assignment, sale or pledge thereof by Seller, and as of the date of funding of a Brokered Mortgage Loan, the Brokered Mortgage Loan is free and clear of claims or encumbrances of any type.
6. Brokered Mortgage Loans shall be closed in Flagstar's name unless required or otherwise authorized by Flagstar. If required by Applicable Law and/or permitted by Flagstar for the Brokered Mortgage Loan to Seller agrees to:
 - a. Endorse the original Note without recourse to Flagstar Bank, **N.A.**. Seller acknowledges that any executed agreement, power of attorney, or consent resolution that grants Flagstar the authority to execute, assign, or endorse Mortgage Loan Documents on behalf of the Seller does not release Seller from the responsibilities listed herein.
 - b. Do, execute, acknowledge, and deliver or cause to be done, executed, acknowledged, and delivered, all such further acts, deeds, assignments, documents, instruments, transfers and assurances as Flagstar may reasonably request to confirm and perfect Flagstar's right, title and interest in and to, and possession of, the Brokered Mortgage Loan and the Mortgage Loan Documents.
7. Seller shall deliver any original final recorded document(s) in its possession within 180 days from Closing. Seller shall deliver all other Mortgage Loan Documents in its possession as set forth in the Loan Purchase Agreement, the Guide, or as otherwise communicated to Seller by Flagstar. In addition to all other remedies available to Flagstar, failure to do so may result in additional fees.
8. Seller has complied with any and all Applicable Laws with respect to its Origination of a Brokered Mortgage Loan. The Seller shall maintain in its possession, available for inspection by Flagstar, an Agency, the Office of the Comptroller of the Currency ("OCC") or any other of Flagstar's regulators, and shall deliver to Flagstar, upon request, evidence of compliance with all such requirements.

9. Seller has not advanced funds, or induced, solicited, or knowingly received any advance of funds by a party other than the Borrower, directly or indirectly, for payment of any amount required by the Brokered Mortgage Loan.
10. Seller has no knowledge that, as of the applicable Closing, except where not required by a particular Mortgage Loan Program, the Mortgaged Property is not lawfully occupied by the Borrower under Applicable Law. For Mortgage Loans financing the purchase of the Mortgaged Property, the Seller has no knowledge that Borrower does not or will not occupy or use the Mortgaged Property in conformance with the requirements for that particular Mortgage Loan Program.
11. Seller has no knowledge of any proceeding pending or threatened for the total or partial condemnation of the Mortgaged Property. The Seller has no knowledge that the Mortgaged Property is damaged by waste, fire, earthquake or earth movement, windstorm, flood, tornado or other casualty. To the best of Seller's knowledge, the Mortgaged Property is free from any and all toxic or hazardous substances and there exists no violation of any local, state or federal environmental law, rule or regulation. The Seller has no knowledge of any pending action or proceeding directly involving any Mortgaged Property in which compliance with any environmental law, rule or regulation is an issue; and nothing further remains to be done to satisfy in full all requirements of each such law constituting a prerequisite to use and enjoyment of said property.
12. The Borrower has not notified the Seller and the Seller has no knowledge of any relief requested or allowed to the Borrower under the Servicemembers' Civil Relief Act of 2003, as amended, or any similar Applicable Law.
13. Seller shall notify Flagstar if it is notified or has reason to know of any complaint by a Borrower that could impact the enforceability of the Brokered Mortgage Loan or materially adversely impact the financial condition of the Seller or the Seller's ability to perform its obligations under the Loan Purchase Agreement, or any complaint to or investigation by any federal, state, or local regulatory agency related to any Brokered Mortgage Loan.
14. Seller will abide by all instructions from Flagstar regarding the transferring of any mortgage loan servicing, as that term is defined in Applicable Law.
15. As Flagstar performs the Underwriting for Brokered Mortgage Loans, Seller makes no representation or warranty with respect to any error made by Flagstar while it performs that Underwriting. However, Seller shall continue to represent and warrant that all information and documentation provided to Flagstar by Seller or by Borrower as part of the Underwriting process is true, accurate, complete, and not misleading. The provision to Flagstar by Seller or by Borrower of any information or documentation that is untrue, inaccurate, incomplete, or misleading shall render this paragraph, and any limitation it provides to Seller's representation and warranty liability, inoperable.
16. Following Flagstar's funding of a Brokered Mortgage Loan, Seller will not solicit the Borrower to take any action with respect to the Brokered Mortgage Loan that is inconsistent with or violates any other representation, warranty, term or condition of the Loan Purchase Agreement or the Guide, including, but not limited to, any provisions related to Early Loan Payoff. To the extent that Section XIII of the Agreement contains a more restrictive non-solicitation provision, this Paragraph 16 amends and limits Section XIII. Furthermore, this Paragraph would not apply to promotions or activities undertaken by the Seller that are directed to the general public at large.
17. Each of the representations and warranties contained in this section:
 - a. Is cumulative with the other representations and warranties contained in the Loan Purchase Agreement, the Guide, and any applicable Investor Guidelines.

- b. Except where specifically limited in this Chapter, is not limited to matters of which the Seller had knowledge. The action or inaction (including misrepresentation or fraud) of the Borrower, or a third party, as well as the action or inaction (including misrepresentation or fraud) of the Seller will constitute the Seller's breach of a warranty;
- c. Is made as of the Funding of the Mortgage Loan;
- d. Shall not be diminished or otherwise affected by the fact that a Brokered Mortgage Loan has passed Flagstar Underwriting, quality control review, a more comprehensive review prior to funding, or any other review performed, if a warranty breach is later discovered; and
- e. Shall not be diminished or otherwise affected by the specifications of, or documentation required for the Mortgage Loan Program under which the Brokered Mortgage Loan was Originated.

REMEDY OBLIGATIONS

1. Seller agrees to fulfill the Remedy Obligations set forth in this Section upon the occurrence, discovery or notification of any of the following events and upon written request by Flagstar, no later than the date specified in Flagstar's written request. Seller's Remedy Obligation shall survive any termination or cancellation of the Loan Purchase Agreement. Collectively, the following events shall be referred to herein as "Remedy Obligation Conditions."
 - a. Seller fails to observe or perform or breaches in any respect any of the representations, warranties or agreements contained in the Guide, the Loan Purchase Agreement, or Investor Guidelines with respect to any particular Brokered Mortgage Loan.
 - b. Except as limited by other provisions of this Chapter or the Loan Purchase Agreement, , Flagstar is required to repurchase a Mortgage Loan from an Agency or Private Investor, or is required to fund a make whole demand from an Agency or Private Investor for any reason related to the Origination or Closing of a Brokered Mortgage Loan.
 - c. There has been fraud or a misrepresentation attributable to the Seller, the Borrower, or any third party contracted by the Seller, including but not limited to appraisers, settlement agents, title insurers, escrow agents, real estate agents, or real estate developers.
2. Each of these Remedy Obligations shall be cumulative, and Flagstar's demand for one type of Remedy Obligation shall be without prejudice to its right to demand any other type of Remedy Obligation or any other remedy or right available to Flagstar at law or equity. Similarly, the failure or decision by Flagstar not to demand one type of Remedy Obligation upon the occurrence or discovery of any of the Remedy Obligation Conditions (as defined immediately above) shall not waive or otherwise limit Flagstar's ability to demand a Remedy Obligation in the future. Upon the occurrence or discovery or notice of any of the Remedy Obligation Conditions, Seller's Remedy Obligation shall be as follows:
 - a. Seller shall repurchase from Flagstar an existing Mortgage Loan, at a repurchase price consisting of: (i) the unpaid principal balance of the Mortgage Loan; (ii) all accrued but unpaid interest due Flagstar or its assignee, negative escrows, and other fees and charges due under the Mortgage Loan Documents; (iii) all reasonable expenses, including, but not limited to reasonable attorney fees incurred by Flagstar in enforcing Seller's Remedy Obligation; and (iv) any premiums paid to Seller in conjunction with the Mortgage Loan. To the extent that Seller refinances the Mortgage Loan as an alternative to the repurchase obligations set forth in this Paragraph 2, the Seller will still be responsible for the premiums described in sentence (iv).
 - b. Seller shall be obligated to make whole and reimburse Flagstar for all losses, damages, claims and demands arising out of, or relating to, the Remedy Obligation Conditions, including but not limited to losses and damages resulting from repurchase demands and make whole demands

made to Flagstar by an Agency or any other investor to whom Flagstar has sold a Mortgage Loan, and including but not limited to attorney fees and costs, and any premiums paid to Seller in conjunction with the Mortgage Loan.

- c. Seller shall indemnify and hold harmless Flagstar against any claim, demand, loss, or damages arising out of, or relating to the remedy obligation conditions set forth in Paragraph 1 of this Section, including but not limited to repurchase demands and make whole demands made to Flagstar, or which are reasonably likely to be made to Flagstar, by an Agency or any other investor to whom Flagstar has sold a Mortgage Loan.
 - d. Seller shall immediately cure such breach to the satisfaction of Flagstar or Flagstar's investor, if in Flagstar's sole and absolute discretion, the breach is curable.
- 3. Flagstar shall have the sole right to repurchase a Brokered Mortgage Loan from or make whole and reimburse or otherwise indemnify an Agency or Private Investor without prior notice to Seller. Seller shall have no right to participate in or challenge the repurchase or indemnification process between Flagstar and any Agency or Private Investor, or Flagstar's disposition of the Brokered Mortgage Loan or the Mortgaged Property after repurchase from the Agency or Private Investor, including but not limited to, the decision to foreclose on the Mortgaged Property, the method by which the Mortgaged Property is marketed or sold, the sale price of the Mortgaged Property, or the approval or disapproval of a short sale of the Mortgaged Property. Flagstar shall have the complete and exclusive right to determine the conduct and defense of any legal proceedings or investigations related to the Mortgage Loan against any third party including, without limitation, the right to compromise, settle, defend, or continue any such action.
 - a. Notwithstanding the rights otherwise reserved in this Paragraph 3, Flagstar will use commercially reasonable means to inform Seller of any demands from an Agency or Private Investor for repurchase, make whole, reimbursement or otherwise for indemnification related to a Mortgage Loan. Further, Flagstar may or may not seek out information from Seller to assist in rebutting or responding to any demand. The decision to incorporate or not incorporate any response or rebuttal information provided by Seller is solely Flagstar's. Nothing in this subparagraph shall operate to impair or diminish in any way Seller's Remedy Obligations if Flagstar does not provide notice to the Seller or otherwise chooses not to include any information provided by Seller in connection with any demand.